

Hayfin's €15 Billion Fund Shows Private Credit Is Concentrating, Not Growing

The biggest firms are absorbing institutional commitments, squeezing mid-market lenders and reshaping CRE debt access.

The most important number in Hayfin Capital Management's €15 billion fundraise is not the total. It is the direction of travel. Institutional investors are not spreading commitments across the \$1.8 trillion private credit market. They are concentrating them with the largest platforms.

Hayfin's haul is the latest evidence that scale is becoming the decisive advantage in direct lending, and that has direct consequences for commercial real estate borrowers who depend on private credit for construction loans, bridge financing, and transitional debt. Hayfin raised more than €15 billion (\$17.1 billion) for its new flagship direct lending fund, according to Bloomberg.

The fundraise comes at a moment when the broader private credit market is under scrutiny: default rates are creeping higher, some mid-market lenders are struggling to raise new capital, and the public markets are questioning underwriting discipline. Against that backdrop, Hayfin's ability to pull in commitments at this scale signals that LPs are making a deliberate bet on size, track record, and platform stability.

What this reveals about capital is straightforward: the cost of raising a fund is rising, and only the largest managers can absorb it. Smaller and mid-size private credit firms face a harder fundraising environment, which means less capital available for smaller loans, secondary positions, and assets that require more underwriting complexity. For CRE borrowers, that translates into a narrowing of lender options.

The firms that can still write checks will have more pricing power and tighter terms. The concentration dynamic also affects risk. When institutional capital flows to a handful of mega-funds, those funds must deploy at scale. That pressure can lead to larger individual loans, more competition for the same high-quality assets, and a tendency to underwrite to a common denominator.

The result is a market where the biggest borrowers and the best assets get financed, while smaller sponsors and transitional properties face a liquidity gap. Who benefits from this concentration? The largest private credit platforms, their LPs, and the sponsors who can access them. Borrowers with strong balance sheets, institutional-grade assets, and established relationships will find competitive terms.

The firms that can offer speed, certainty, and scale will win the best deal flow. Who is exposed?

Mid-market lenders, smaller sponsors, and owners of assets that require more bespoke capital structures. If the private credit market is consolidating around a handful of large platforms, the borrowers who relied on smaller lenders for speed and flexibility may find those lenders unable to raise new funds or constrained in their underwriting.

The liquidity that was abundant in 2021 and 2022 is now concentrated in fewer hands. What should the market watch next? The deployment pace of Hayfin's fund and others like it. If large funds struggle to find enough qualifying loans, they may stretch on terms or move down the risk spectrum. That would create a different kind of risk.

If they deploy slowly and selectively, the liquidity gap for smaller borrowers will widen. Either outcome matters for CRE capital markets. The next phase of private credit will not be defined by how much capital is raised. It will be defined by who controls it and where they choose to put it to work.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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